3.5.2 Variances

Unit 3.5 Financial management · 6 key points

- **Variance:** difference between budgeted and actual figures
- **Favourable variance:** better for profit than planned, e.g. higher revenue or lower costs
- **Adverse variance:** worse for profit than planned, e.g. lower revenue or higher costs
- **Trap:** costs above budget are adverse, not favourable
- **Causes of variances:** changes in demand, prices, costs or efficiency
- **Using variances:** find the cause before acting